CONSENT AGREEMENT

The Arizona Department of Health Services (the "Department") and Natural Herbal Remedies, Inc. ("NHR") agree as follows:

Jurisdiction

The Department is charged by statute with the authority to protect the health of the people of Arizona and to issue or direct the issuance of licenses and permits required by law. A.R.S. § 36-132(A)(1) & (18). Under A.R.S. § 36-136(G), the Director of the Department is authorized to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Smart and Safe Arizona Act, A.R.S. §§ 36-2850 through -2865 ("SASAA"), authorizes the Department to license marijuana establishments for the cultivation, processing, manufacture, transport, and sale of marijuana and marijuana products. A.R.S. §§ 36-2850(21), -2854. SASAA also authorizes the Department to adopt rules related to the licensing and regulation of marijuana establishments. A.R.S. § 36-2854. The Department's rules to implement SASAA are codified in A.A.C. §§ R9-18-101 through -415 (the "Rules"), and the Rules related to the licensing and regulation of marijuana establishments are set forth in A.A.C. §§ R9-18-301 through -316.

The Department may inspect a marijuana establishment during its regular hours of operation "to determine if it complies with [SASAA] and [the Rules]." A.R.S. § 36-2854(B)(3). The Department "shall make at least one unannounced visit annually to each facility licensed pursuant to [SASAA]." *Id.*

If the Department determines during an inspection that a marijuana establishment is not in compliance with SASAA or the Rules, the Department will issue a statement of deficiencies and, where appropriate, provide an opportunity for remediation and corrective action. A.R.S. § 41-1009. The Department also may take enforcement action, including revoking or suspending the marijuana establishment's license or assessing civil monetary penalties for separate violations. A.R.S. § 36-2854(B); A.A.C. § R9-18-316(C)(3). "Each day a violation occurs constitutes a separate violation." A.R.S. § 36-2854(B)(2).

Recitals

A. NHR is registered as a marijuana establishment under SASAA pursuant to License No. 00000058ESFA63267513 (the "License").

B. On November 9, 2022, the Department conducted an inspection of NHR's marijuana establishment premises.

C. The Department issued a statement of deficiencies related to the inspection (the "SOD") that provided notice and a description of the Department's findings of deficiencies and violations of SASAA and the Rules observed during, or in connection with, the inspection.

D. As part of its response to the SOD, NHR took affirmative steps to resolve the issues identified in the SOD and to contact any potentially impacted members of the public. NHR did not receive any reports or complaints from any member of the public regarding the issues identified

in the SOD.

E. On July 5, 2023, the Department issued a Notice of Intent to Revoke Marijuana Establishment License and Notice of Right to Request Administrative Hearing (the "Notice of Intent to Revoke"). The Department gave notice of its intent and reasons for revoking NHR's License based on the Department's findings of deficiencies and violations observed during, or in connection with, the inspection and as documented in the SOD.

F. NHR timely requested an administrative hearing regarding the Notice of Intent to Revoke, and a hearing is scheduled before the Arizona Office of Administrative Hearings under Case No. 2024-MMR-0020-DHS (the "Hearing").

G. NHR also timely requested an informal settlement conference with the Department pursuant to A.R.S. § 41-1092.06(A).

H. The Department and NHR (collectively, the "Parties") participated in an informal settlement conference on August 24, 2023 and continued settlement discussions thereafter. The parties reached a settlement and enter into this Consent Agreement ("Agreement"), effective as of the date of the final signature below (the "Effective Date"), to resolve their disputes arising out of the SOD and the Notice of Intent to Revoke and to set forth the terms and conditions of their settlement and resolution of various matters arising out of the Department's regulation of NHR as a marijuana establishment under SASAA and the Rules.

Agreement

NOW THEREFORE, in consideration of the foregoing, and the terms, covenants, and conditions set forth herein, and for other good and valuable consideration, the sufficiency of which is hereby acknowledged, the Parties agree as follows:

1. The Parties acknowledge and agree that the Recitals set forth above are material terms and conditions of this Agreement. However, by executing this Agreement, NHR does not admit to any violation of the SASAA or the Rules, or to the truth of any factual findings or conclusions alleged by the Department in the SOD or the Notice of Intent to Revoke. Rather, this Agreement is a compromise of disputed issues.

2. NHR acknowledges the jurisdiction of the Department and its Director under SASAA and the Rules and in connection with the marijuana establishment licensing matters concerned herein.

3. NHR shall, at all times, remain in compliance with SASAA and the Rules.

4. NHR will pay to the Department the sum of $22,000.00 (the "Settlement Amount") in settlement of the Notice of Intent to Revoke, and the Department agrees to accept this amount in settlement of the Notice of Intent to Revoke. NHR shall pay the Settlement Amount within thirty (30) calendar days of the Effective Date. If NHR fails to pay the Settlement Amount within fourteen (14) days of the due date, NHR shall pay a late fee of five percent (5%) of the Settlement Amount. The payment and late fee shall be made within twenty-one (21) days of the original due date. NHR will be in material breach of this Agreement if it fails pay the Settlement Amount within twenty-one (21) days of the due date, and in such event the Department may elect to take

further enforcement action against NHR, including reinstating the Notice of Intent to Revoke or denying future applications to renew the License.

5. Within thirty (30) calendar days of the Effective Date, NHR will submit to the Department a plan of correction to specify actions that will be taken to address and remediate the Department's findings in the SOD and the Notice of Intent to Revoke and to prevent them from reoccurring. NHR will implement and remain in compliance with the plan of correction, and any supplement thereto, as approved by the Department. NHR will be in material breach of this Agreement if it fails to implement and comply with the plan of correction and any supplement thereto, as approved by the Department, and in such event the Department may elect to take further enforcement action against NHR, including reinstating the Notice of Intent to Revoke.

6. NHR hereby waives all rights to an administrative hearing or judicial review of any matter arising out of or relating to the SOD or the Notice of Intent to Revoke. NHR authorizes counsel for the Department to file a notice of settlement and motion to vacate the Hearing.

7. The Parties enter into this Agreement without trial or adjudication of any issue of fact or law and without admission or finding of any violations of any law. This Agreement is not, and shall not be construed as, an admission by NHR of any liability or wrongdoing.

8. If NHR complies with its obligations under this Agreement by timely paying the Settlement Amount and implementing and complying with the plan of correction and any supplement thereto, as approved by the Department, then the Department's findings of deficiencies and violations alleged in the SOD, the Notice of Intent to Revoke, and all evidence gathered or received in connection therewith (the "Prior Evidence") shall not be used as independent bases for any future enforcement action by the Department against NHR. However, the Prior Evidence may be considered and used if the Department determines in its reasonable and good faith discretion that the Prior Evidence represents or is evidence of a pattern of non-compliance or ongoing, systemic, or institutional deficiencies when considered in connection with any new deficiencies or violations identified during the Department's licensing and regulation of NHR's License. NHR reserves and maintains the right to contest any such actions and to contest any factual findings and conclusions alleged by the Department, including with respect to the Department's use or reliance upon the Prior Evidence.

9. In any case, the Department may only use the Prior Evidence, including use of the Prior Evidence to show a repeat deficiency or violation, in any enforcement action commenced within two (2) years of the Effective Date.

10. Except as otherwise set forth in this Agreement, nothing in this Agreement shall prevent the Department from taking future enforcement action against the License based on a violation of SASAA or the Rules, other than the alleged violations set forth in the SOD and the Notice of Intent to Revoke.

11. This Agreement is between the Department and NHR. There are no third-party beneficiaries to this Agreement. Except as otherwise set forth in this Agreement, nothing in this Agreement precludes the Department from taking any enforcement action against any other person or entity or precludes other agencies or the State of Arizona from instituting other proceedings as may be appropriate in the future.

12. Except as otherwise set forth in this Agreement, nothing in this Agreement shall require or be construed as requiring the Department to (a) take any action except for compliance in good faith with the terms of this Agreement, or (b) refrain from taking any action with respect to which it has the discretion to act or not act, as the case may be, under this Agreement, SASAA, or the Rules.

13. The Parties acknowledge and agree that a mutual and fair exchange of consideration has been made in connection with this Agreement.

14. This Agreement may be modified only in a written document signed by both Parties. No waiver of any requirement herein is effective unless made in writing. A waiver of any requirement herein shall not be deemed a waiver of any other provision.

15. This Agreement shall be governed by and construed and enforced under the laws of the State of Arizona.

16. This Agreement is subject to the approval of the Department's Assistant Director for Licensing, Administrative Counsel and Rules, and Policy and Intergovernmental Affairs ("Assistant Director") and is effective only upon the Assistant Director's approval. In the event the Assistant Director does not approve this Agreement, it shall be deemed withdrawn, have no evidentiary value, and may not be relied upon or introduced as evidence by either of the Parties in any action or other proceeding.

17. NHR and the person signing this Agreement on its behalf (the "Authorized Signatory") represent and warrant that (a) the Authorized Signatory is a Principal Officer or Board Member of NHR as set forth in A.A.C. § R9-18-301, (b) the Authorized Signatory is fully authorized to make and execute this Agreement on NHR's behalf, and (c) no further approvals are required from any persons or entities to bind NHR to this Agreement.

18. If, for any reason, any portion of this Agreement is adjudicated invalid or unenforceable by any court of competent jurisdiction, the court, in its discretion, may determine the extent of the invalidity or unenforceability of the provision as it relates to this Agreement. The remaining unaffected provisions of this Agreement will be valid, fully enforceable, and in effect. If the invalid or unenforceable provision materially alters the purpose and intent of this Agreement, any court of competent jurisdiction shall have the power to reform this Agreement to manifest the intent and purpose of the Parties to this Agreement.

19. This Agreement may be executed and delivered electronically in counterparts that shall together constitute one original Agreement.

WHEREFORE, the Department and NHR enter into this Agreement effective as of the date of the final signature below.

DATED: September 20th, 2023

Peter Clateman

Natural Herbal Remedies, Inc.
By: Peter Clateman
Its: Authorized Signatory

DATED: September 21, 2023

Megan Whitby

Megan Whitby
Deputy Assistant Director
Public Health Licensing
Arizona Department of Health Services

DATED: September 21, 2023

Thomas Salow

Thomas Salow
Assistant Director
Licensing, Administrative Counsel and Rules, and Policy and Intergovernmental Affairs
Arizona Department of Health Services